

DR. CARE ANIMAL BITE CLINIC FRANCHISE AGREEMENT

This FRANCHISE AGREEMENT is made and entered into by and between:

_____ of legal age, Filipino citizen and resident of _____,
hereby referred to as the **FRANCHISEE**.

- and -

DR. CARE MEDICAL GROUP INCORPORATED, a domestic corporation, duly organized and existing under and by virtue of Philippine Laws, with principal office address at Unit B Radenville Townhomes, #09 Cayetano St., Karuhatan, Valenzuela City and herein represented by its President **MARK BUCOY MENDOZA, MD** of legal age, Filipino citizen and a resident of Unit B Radenville Townhomes, #09 Cayetano St., Karuhatan, Valenzuela City, and hereinafter referred to as the **FRANCHISOR or Company**:

WITNESSETH:

WHEREAS, the **FRANCHISOR** at a substantial expenditure of time, effort, expertise and money has established a system of developing, opening, operating and promoting an animal bite clinic under the name "**Dr. Care Animal Bite Clinic**";

WHEREAS, DR. CARE MEDICAL GROUP INC. of MARK MENDOZA MD had the right and license to the service mark "DR.CARE ANIMAL BITE CENTER," and has formulated and developed a system of operations in the business which has been successful and well known and has created considerable goodwill for the Company; and

WHEREAS, "**Dr. Care Animal Bite Clinic**" and the products offered therein have a reputation for quality that has been acquired and is being maintained by requiring the **FRANCHISEE** to maintain high standards of quality and service; and

WHEREAS, the **FRANCHISEE** recognizes the value and benefits to be derived from utilizing the "**Dr. Care Animal Bite Clinic**"'s system and being associated with **FRANCHISOR**, the marks and other distinctive features of the system, and now desires to obtain a franchise from the **FRANCHISOR** to use the system and to operate a "**Dr. Care Animal Bite Clinic**" at an approved location, and **FRANCHISOR** is willing to grant **FRANCHISEE** the right to operate a "**Dr. Care Animal Bite Clinic**", all subject to the terms and conditions hereinafter set forth.

NOW, THEREFORE, for and in consideration of the covenants and agreements hereinafter set forth, it is mutually understood, agreed and covenanted as follows:

1. GRANT OF FRANCHISE

The Company hereby grants to the Franchisee the non-exclusive right, within the franchised area designated and pre-approved herein, to use the service mark "**Dr. Care Animal Bite Clinic**" and the Company's logos and trademarks, business slogan, accounting and record keeping systems, training and management programs, financing, purchasing, and inventory know-how, systems, and other procedures and forms used in connection with or applicable to the **Dr. Care Animal Bite Clinic** operation.

See Designated site from the Letter of Intent and Application Form Site

(Annex A): Location: Dr. Care Animal Bite Clinic – _____

2. TERM AND RENEWAL

2.1 **Initial Term.** Unless terminated earlier in accordance with the terms and conditions set forth herein, this Agreement and the franchise granted hereunder shall have an initial term of three years commencing as of the Effective Date .

2.2 **Renewal.** Upon the expiration of the Initial Term, **FRANCHISEE** shall have the right to renew the franchise granted hereunder for an additional three-year period, provided that all the following conditions are met:

(01) The Franchisee shall give the Company written notice of intent to exercise this " option to continue as a franchisee not less than twelve (12) months prior to the expiration of the term of this Agreement.

(02) The Franchisee shall agree to make such capital expenditures required to renovate and modernize "Dr. Care Animal Bite Clinic".

(03) The Franchisee shall execute a new Franchise Agreement renewal on the form then being used by the Company which may differ as to collectible fees and other material terms. Failure of the Franchisee to execute that renewal agreement within thirty (30) days after receipt thereof, shall be deemed an election not to continue as a franchisee following expiration of this Agreement. The Franchisee shall settle the amount of 20 % (industry low renewal fee) of the declared initial franchise fee value at the time of renewal.

Computation Example:

Projected 2029 Initial Franchise Fee Market Value	20 % Franchisee Renewal Fee Industry low renewal
P500,000 initial current price	P100,000 (20% of the initial 2030 franchise market value

The Company shall give the Franchisee a notice of at least ninety (90) days prior to the expiration of the Franchise if the Company intends not to allow the Franchisee to renew the franchise contract, due to the Franchisee's failure to meet any of the conditions for renewal.

3. FRANCHISED SITE AND TERRITORY

3.1 **Franchised Site.** The rights granted to Franchisee hereunder shall be exclusive and shall be restricted to the operation of a single "**Dr. Care Animal Bite Clinic**" to be located at the address and location set forth on Exhibit A attached hereto (the "Franchised Site"). During the term of this Agreement, the Franchised Site shall be used exclusively to operate an animal bite clinic. The rights granted to Franchisee are for the specific Franchised Site and cannot be transferred to any other location, except with Franchisor's prior written approval.

3.2 **Territorial Protection.** The franchisor shall not open or grant a **Dr. Care Animal Bite Clinic** franchise to any other person, firm, or entity, within the foregoing, specified area or, if such designation is of a particular site, within one (1) kilometer of such site as specified on the Designated site from the Letter of Intent and Application Form Site (Annex A).

3.3 Site Relocation. The franchisee may be allowed to relocate the place of the franchise unit, only once in the entire duration of the contract upon the approval of the Franchisor, in writing. Further, the Franchisee shall submit a written request for relocation to the franchisor at least ninety (90) days prior to the proposed relocation date. Thereafter, Franchisor shall have the right to approve or disapprove the proposed relocation in its sole discretion. There shall be a Relocation fee- Franchisee shall pay franchisor a fee of TWENTY THOUSAND PESOS (P20,000) for the relocation services which shall be provided solely by the franchisor. The relocation fee shall be paid to the franchisor at the time the franchisee submits its written request for relocation. Failure to declare relocation shall be ground for franchise agreement violation and the Franchisee shall be subjected to pay a fine of ONE HUNDRED THOUSAND PESOS (P100,000.00) and/or subsequent termination of Franchise Agreement.

3.4 Reservation of Rights. Franchisor retains the right, in its sole discretion, to:

(i) Establish and operate, and grant to other franchisees or licensees the right to establish and operate, a **Dr. Care Animal Bite Clinic** or any other business using the Marks, the **Dr. Care Animal Bite Clinic** system or any variation of the Marks, in any location outside the Franchise Territory, on any terms and conditions that Franchisor deems appropriate;

(ii) Develop, use and franchise anywhere (including within the Franchise Territory) the rights to any trade names, trademarks, service marks, commercial symbols, emblems, signs, slogans, insignia, patents or copyrights not designated by Franchisor as Marks, for use with similar or different franchise systems for the services, other than those constituting a part of the **Dr. Care Animal Bite Clinic's** System, without granting Franchisee any rights therein;

(iii) Offer, ship, sell and provide products or services identified by the Marks or other trademarks, service marks, commercial symbols or emblems to customers located in the Franchise Territory through any distribution channel or method, Internet (or any other existing or future form of electronic commerce), and delivery services, irrespective of the proximity to the animal bite clinic.

4. INITIAL FRANCHISE FEE

Upon the execution of this Agreement, Franchisee shall pay to the Franchisor an initial franchise fee. The initial franchise fee amounting to _____ shall have been FULLY PAID to the Company upon the execution, and delivery of this Agreement, which is under locked in price promo and no financing terms. Upon approval of the Franchise Agreement by the Franchisor and compliance with all the requirements set forth by the concerned agencies, the Franchisor will duly advise the franchisee to immediately establish the branch at the soonest possible time.

The time allowed to establish the new branch should commence immediately or within a period of twelve months (12) from the time of advisory. In the event that the franchisee fails to establish an outlet, initial fees paid in full shall be forfeited and deemed non-refundable or they shall pay the difference of the current franchise market value fee and the non-refundable fee of the franchise.

5. ROYALTY FEE; METHOD OF PAYMENT

5.1 Royalty Fee. In addition to all other amounts required to be paid hereunder, during the term hereof, Franchisee agrees to pay to Franchisor for the rights granted hereunder a royalty fee equal to **Php3,000.** Payment of the Royalty Fee shall be made on or before **1st day of every month.**

5.2 Application of Payments. Notwithstanding designation by Franchisee to the contrary, all payments made by Franchisee hereunder will be applied by Franchisor at its discretion to management and administration fee which shall cover the operational support, administrative services and ongoing guidance

provided by the Franchisor. The royalty fee shall also be used for the brand-wide marketing and promotional activities conducted by the Franchisor on behalf of the franchise network.

6. OBLIGATIONS OF THE FRANCHISEE

The Franchisee shall:

(01) ESTABLISH, in the franchised area and at the Franchisee's expense, a **Dr. Care Animal Bite Clinic** and maintain that clinic in compliance to the fitness of purpose throughout the term of this Agreement.

(02) Keep and maintain in full force and effect a valid animal bite clinic business license as required by the laws in which the **Dr. Care Animal Bite Clinic** is located and shall ensure that all the staff employed by the Franchisee are properly licensed.

(03) Use the displays, promotional material, and campaigns without alteration, as prepared, officially approved and provided by the Company.

(04) Utilize insignia, equipment, decals, personnel uniforms, truck signs and colors, indoor signs and posters, and other materials as required by the Company to maintain uniformity of appearance, identity recognition, point of purchase impact, and full penetration of promotional opportunities. It is understood, except for the signage, that the Franchisee shall be obliged to purchase the aforementioned items according to their necessity. Those items that are provided to the Franchisee without charge shall be utilized. Any alteration from the standard signage, adding dimension in size, or additional signage indoor, or translation of Dr Care Signage into other language is charged in addition to the basic standard signage provided.

(05) Purchase equipment including a business computer and accompanying software programs, fixtures, supplies, inventory, and signs which comply with the specifications of the Company. The Dr Care Company is the preferential suppliers of MEDICAL products and services to the franchisee; This position shall be strengthened by the SUPPLIERS AGREEMENT (Annex B) which will be signed in conjunction with the conditions set forth herein of the franchise agreement.

5.1 A franchisee must maintain a One hundred thousand (P100,000.00) pesos physical worth inventory requirements for **Dr. Care Animal Bite Clinic**.

5.1a Fulfillment of Initial Physical Inventory: The franchisee agrees that the purchase of the initial physical inventory, valued at a minimum of ONE HUNDRED THOUSAND PESOS (P100,000.00), shall be made available and delivered by the Franchisor prior to the opening or official launch of the franchisee's outlet. This inventory is critical to ensure the smooth operation of the outlet upon commencement of business activities.

5.1b Condition of Store Opening: The Franchisee further agrees that the store shall not be permitted to open or operate unless the full payment for the initial inventory has been made and confirmed, and the inventory has been delivered in full to the Franchisee. Non-fulfilment of this condition will result in the delay of the store opening and shall commence only when the required inventory has been settled and delivered.

5.1c Compliance and Consequences of Non-Delivery. In the event that the franchisee fails to settle the payment for the initial inventory amounting to P100,000.00, the Franchisor reserves the right to withhold the authorization to launch or participate officially in the opening of the outlet until all the conditions have been satisfactorily met. In the event of non-compliance with inventory fulfillment

requirements, the Franchisee risks breaching the Franchise Agreement, which may lead to the cancellation of the agreement. The franchisor reserves the right to take corrective actions to enforce compliance, including the withholding of outlet operation.

5.2 A monthly purchase of at least TWENTY THOUSAND (P20,000.00) for the supply. The company may, from time to time, provide the Franchisee a list of approved suppliers of such items used in the operation of the Dr. Care Animal Bite Clinic. Only Suppliers which are included in the list of approved regional suppliers shall be allowed to engage with distribution of products, as stated in the Supplier's Agreement.

5.2a Minimum Monthly Stock Purchase Requirement: The Franchisee agrees to purchase a minimum of TWENTY THOUSAND PESOS (P20,000.00) worth of stock from the Franchisor monthly. This requirement is critical in maintaining a sufficient inventory level for the continued successful operation of the Franchisee's branch which is aligned with the brand standards of the Franchisor.

5.2b Issuance of Statement of Account: The franchisor will issue a Monthly or Quarterly Statement of Account to the franchisee, detailing all stock purchases, payments and any outstanding balances. The statement will serve to update the Franchisee on their compliance with the physical inventory purchase requirement.

5.2c Monitoring and Issuance of Default Notices: If the Franchisee fails to meet the minimum monthly stock purchase of P20,000.00 for three months, the Franchisee shall explain in writing the reasons for its failure to fulfill their stock purchase obligations as outlined in this Agreement. Unsatisfactory explanation shall entitle the Franchisor to the right to collect P100,000.00 as liquidated damages.

5.2d Potential Franchise Agreement Violation: Continued non-compliance with the stock purchase requirements, particularly the failure to resolve outstanding balances or meet the minimum stock inventory, may constitute grounds for the Franchisor to suspend the franchise rights, or potential termination of the Franchise Agreement, aside from the right to collect liquidated damages.

5.2e No Waiver of Enforcement: The Franchisor's failure to enforce this provision at any given time shall not be construed as a waiver of the Franchisor's rights to enforce the provision in the future. Strict compliance is required to maintain integrity of the franchise relationship and to avoid potential violations of this agreement.

To assure the maintenance of quality standards in all Dr. Care Animal Bite Clinic, the Company reserves the right to require the Franchisee to obtain the written approval of the Company prior to the use of any supplier not previously approved by the Company, and as a precondition to the granting of such approval, the proposed supplier shall submit to the Company samples of products proposed to be provided to the Franchisee for use in the franchised business. The Supplier Agreement for Franchisee should not be violated by engaging in a third-party agreement.

(06) Maintain PHYSICAL INVENTORY REQUIREMENTS (Pricelist) and operate the business as set forth in the Company's Policy and Procedures Manual.

(07) Refrain from altering the advertisements of the Company which comply with the high ethical and professional standards set by the **Dr. Care Animal Bite Clinic** brand.

(08) Refrain from disparaging the **Dr. Care Animal Bite Clinic** system, or any aspect thereof. Any discord or issues regarding the system and/or operations should be addressed to the Company for resolution. Any issues relating to the operations of the Dr. Care Animal Bite Clinic are covered by the confidentiality clause.

Any violation of this provision shall entitle the Franchisor to the right to recover P500,000.00 from the Franchisee as liquidated damages.

(09) Refrain from using any item/vaccine in the Franchisee's animal bite clinic that has not been approved in advance by the Company. Any violation of this provision shall release the company from any liability to third parties and shall result in the payment of the Franchisee of P200,000.00 liquidated damages.

(10) Diligently adhere to the standards established by the Company for interior and exterior, all of which have been designed by the Company to create a pleasant, inviting atmosphere and appearance to and in the Franchisee's Dr. Care Animal Bite Clinic to provide provincial and nationwide identification impact. The Franchisee will also maintain a neat, orderly arrangement of displayed merchandise FDA prescribed, and following principles of good marketing display practice to optimized site visibility and high degree of cleanliness in its clinic. **Dr. Care Animal Bite Clinic** renovation usually costs a minimum of Fifty Thousand Pesos (P50,000.00) and is considered sufficient for a 30sqm floor plan.

(11) Enable the Company to maintain the integrity of the **Dr. Care Animal Bite Clinic** operation by allowing the Company the unqualified right (unrestricted), from time to time during the term of this Agreement to conduct inspection, whether announced or unannounced, and to any renewal thereof:

(a) To review the operations of the Franchisee's clinic periodically during each year and to consult with the Franchisee from time to time on operating problems concerning the Dr. Care Animal Bite Clinic; and

(b) To inspect the clinic so as to maintain the high standards of the operation, the goodwill of the public, and compliance with the provisions of this Agreement and with various licensing laws.

(12) Purchase and use, in the operation of the franchised business, a business computer and compatible software programs recommended by the Company for use in the operation of the franchised business, which computer shall always have Internet access.

(13) Maintain its books and records in the manner reasonably required by the Company and provide the Company with semi-annual and annual financial and sales reports. All financial information (internal) shall be delivered to the Company and shall be in the form and by means of internal communication as authorized by the Company.

(14) Promptly discharge all applicable government tax liabilities when due.

(15) Attend the Company's annual or bi-annual meeting. If additional refresher programs, training sessions, or periodic seminars or conventions are sponsored by the Company, attend at least one of these programs each year.

(16) Immediately notify the Company of any infringement of or trademark challenge to the Franchisee's use of the Company's names and marks. The Company shall have sole discretion to take such action as it deems appropriate, including the exclusive control of any - litigation or any Trademark Office or other administrative proceedings arising out of any such infringement, challenge, or claim relating to any of the Company's names and marks.

(17) Accept partner companies of the Franchisor and entertain their business as appropriate to the growth and success of the brand.

7. TERMINATION/REVOCATION OF FRANCHISE

The Company and the Franchisee recognize that the other party is making a significant investment in this Agreement, and both agree not to unilaterally terminate this Agreement except for the reasons stated hereunder. The Company may terminate this Agreement upon the occurrence of any of the following events, to wit:

- (01) The revocation of the Franchisee's animal bite clinic business license;
- (02) If the Franchisee is declared bankrupt or insolvent or makes an assignment for the benefit of creditors, or if a receiver is appointed or any proceedings are commenced by or against the Franchisee;
- (03) In the event the Franchisee shall discontinue its business operation for more than sixty (60) consecutive days. Unless the failure to operate is due to fire, flood, earthquake or another act of God which is beyond the Franchisee's control. If such event occurs, the Franchisee shall use best efforts to reopen the business as soon as possible thereafter, otherwise, the Company may terminate the Franchise Agreement on the expiration of the ninety (90) days, without further notice of any kind to the Franchisee;
- (04) Failure to regularly open for business or operate less than the minimum hours prescribed by the Company;
- (05) Any other conduct that demonstrates such bad faith, improper, fraudulent, or dishonest dealings as would disqualify the Franchisee from securing and maintaining a business license under the laws;
- (06) The Franchisee is dissolved, liquidated, or terminated, or after a merger or consolidation, is not the successor entity having at least a majority of the same shareholders, members, or partners and equity control as before such merger or consolidation;
- (07) The Franchisee breaches any of the provisions of this Agreement or of the sublease contract (clinic space rent is allowed) of the premises to the Franchisee or any other agreement between the Franchisee and the Company or its affiliates;
- (08) The Franchisee fails to settle due payments owed to creditors of the franchised business, including the Company and its affiliates; or
- (09) The Franchisee fails to commence business as a **Dr. Care Animal Bite Clinic** within one (1) year after the advisory to open the clinic.
- (10) The franchisee fails to pay the fine for undeclared relocation.

The Franchisee shall have the right, within a period of thirty (30) days, to cure any violations described in the related paragraphs above, and if such fault is remedied by the Franchisee, the company shall not have the right to terminate this Agreement. Notwithstanding the foregoing, if there is a violation in this Agreement which materially impairs the goodwill associated with the Company's names and marks, the Company shall have the right to immediately terminate this Agreement upon failure of the Franchisee to cure the default within twenty-four (24) hours of receipt of notice. Prior to the termination of this Agreement, if the Franchisee fails to pay any amounts owed to the Company or its affiliates, or fails to comply with any material term of this Agreement, and in addition to any right the Company may have including damages, the Company shall also have the option:

- (01) To suspend all services provided to the Franchisee under this Agreement or otherwise; and
- (02) To eliminate listings for the Franchisee's **Dr. Care Animal Bite Clinic** in any advertising materials approved or published by the Company.

The Company's actions as outlined in this paragraph may continue until the Franchisee has brought its accounts current, cured any default, and complied with the Company's requirements, and the Company has acknowledged the same in writing. The taking of any of the actions permitted in this paragraph shall not suspend or release the Franchisee from any obligation that would otherwise be owed to the Company or its affiliates under the terms of this Agreement.

The Franchisee may terminate this Agreement, if the Franchisee is in compliance with this Agreement and the Company breaches this Agreement and thereafter failed to cure the breach within thirty (30) days after written notice of the breach is delivered to the Company.

8. TRANSFERRABILITY OR REASSIGNMENT

The Franchise (or ownership of the business operated under the Franchise) cannot be transferred or assigned by the Franchisee, except to the spouse or parent or brother/sister or child and with prior written permission of the Company.

The transfer or assignment of the Franchise should be made within ninety (90) days after the death or incapacity of the Franchisee, the transferee/assignee or his authorized representative must comply with all the procedural provisions set forth by the Company.

The foregoing provisions of this Section VIII shall not apply to any transfer to a corporation wholly owned by the Franchisee or any stock or membership transfer among or between the individuals listed as the Franchisee on the first page of this Agreement.

9. NON-COMPETE

During the term of this Agreement, and for a period of two (2) years following the expiration or termination of this Agreement or following the assignment of this Agreement by Franchisee, the Franchisee shall not own or operate or have interest or consult or be employed in any animal bite clinic/business similar to Dr. Care Animal Bite Clinic and which is located within three (3) kilometers of the animal bite clinic licensed hereunder, or within such greater territory as may be described in Section I of this Agreement, or within three (3) kilometers of any other then existing Dr. Care Animal Bite Clinic. Any violation of this provision shall entitle the Franchisor to the right to recover P500,000.00 from the Franchisee as liquidated damages.

10. RELATIONSHIP OF THE PARTIES

It is the expressed intention of the parties hereto that the Franchisee shall be an independent contractor under this Agreement, and no partnership, joint venture, fiduciary relationship or other special relationship shall exist between Franchisee and Franchisor.

Further, this Agreement does not constitute the Franchisee as an agent, legal representative or employee of Franchisor for any purpose whatsoever, and Franchisee is not granted any right or authority to assume or create any obligation for or on behalf of, or in the name of, Franchisor or in any way to bind Franchisor.

Franchisee agrees not to incur or contract any debt or obligation on behalf of the Franchisor, or commit any act, make any representation or advertise in any manner which may adversely affect any right of Franchisor, or be detrimental to the good name and reputation of Franchisor or any other franchisees of Franchisor.

11. MISCELLANEOUS PROVISION

The franchisor may act as liaison to the government agencies in charge of issuing license or training necessary for the operation of animal bite clinic, except for those licenses issued by LGUs. However, the company shall not be liable for delays attributable to the government agencies, such as but not limited to scheduling, releasing or holidays.

12. CONFIDENTIALITY

All terms and conditions of this Agreement, including the operation and system of the company, must be kept confidential, unless the disclosure is required pursuant to process of law. Disclosing or using this information for any purpose beyond the scope of this Agreement, or beyond the exceptions set forth above, is expressly forbidden without the prior consent of the Parties. Any violation of this provision shall entitle the Franchisor to the right to recover P500,000.00 from the Franchisee as liquidated damages.

12. DISPUTE RESOLUTION

The parties shall attempt to resolve any dispute arising out of or relating to this contract through negotiations between the franchisee and the representative of the company who have authority to settle the same.

13. LEGAL ACTIONS

Legal actions arising from breach of any, or all of the terms and conditions of this Contract shall be brought to the proper courts of Valenzuela City, to the exclusion of other courts, and in case of litigation, the aggrieved party shall be entitled to 25% attorney's fees and to recover the cost of the suit and other charges.

Signed this

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DR. CARE ANIMAL BITE CLINIC FRANCHISEE

BY:

Signed this

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DR. CARE MEDICAL GROUP INCORPORATED

BY: MARK MENDOZA MD

SIGNED IN THE PRESENCE OF

ACKNOWLEDGMENT

Republic of the Philippines }
City of _____ }S.s.

BEFORE ME, a Notary Public, personally appeared:

NAMES	GOV'T ISSUED ID	DATE/PLACE ISSUED
MARK B. MENDOZA, MD	PRC # 112680	Manila, 2025

known to me to be the same persons who executed this **CONTRACT**, and they acknowledged to me that the same represents their own voluntary act and deed of the company they represent. This document consisting of Ten (10) pages, including this page were signed by the parties and their instrumental witnesses at the space above indicated and on the left hand margin of all pages, each bearing my notarial seal.

WITNESS MY HAND AND SEAL at the place and date first above written.

Doc No. _____
Page No. _____
Book No. _____